

Warsaw, December 7, 2023

Decision

DOKE.561.5.2023

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended) in connection with Article 7 sections 1 and 2, Article 60, Article 101, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text) and based on Article 57 section 1 letters a) and h), Article 58 section 2 letter i), Article 83 sections 1-3, Article 83 section 4 letter a) in connection with Article 31 and Article 83 section 5 letter e) in connection with Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of 05.04.2016, p. 1, with amendments published in OJ EU L 127 of 23.05.2018, p. 2, and in OJ EU L 74 of 04.03.2021, p. 35, hereinafter referred to as the "Regulation 2016/679"), after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on N. Sp. z o.o. based in W. at ul. (...), the President of the Personal Data Protection Office, finding a violation by N. Sp. z o.o. based in W. at ul. (...) of the provisions of Article 31 and Article 58 section 1 letters a) and e) of Regulation 2016/679, consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his duties and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary for the performance of his tasks, imposes on N. Sp. z o.o. based in W. at ul. (...) an administrative monetary penalty in the amount of 11,790 PLN (in words: eleven thousand seven hundred ninety zlotys).

JUSTIFICATION

Factual Background

On November 14, 2022, a notification of a personal data breach at N. Sp. z o.o. based in W. at ul. (...) (hereinafter referred to as the "Company") was submitted to the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO", "Authority"), concerning the disclosure by an employee of the Company of personal data of the Company's employees and clients to a third party. This notification of a personal data breach was submitted electronically via the electronic Public Administration Services Platform (hereinafter referred to as "ePUAP"), and the letter was signed electronically by Ms. E. Z. – President of the Company's Management Board. Due to the necessity of obtaining information that is essential for the President of UODO to assess the circumstances related to the personal data breach in the Company, the President of UODO initiated an explanatory proceeding under reference number DKN.5130.11394.2022.

As part of the aforementioned proceeding – acting under Article 58 section 1 letters a) and e) of Regulation 2016/679 – the President of UODO, by letter dated November 17, 2022, called upon the Company to specify:

- 1) "why the administrator notified only 17 individuals when the incident involved a personal data breach affecting 18 individuals;
- 2) whether the administrator intends to report the possibility of committing a crime to the appropriate law enforcement authorities;
- 3) the risk analysis on the basis of which the administrator determined that there was no high risk of infringement of the rights or freedoms of natural persons;
- 4) detailed information regarding the measures taken or proposed to remedy the breach and minimize the negative effects for the individuals concerned. The remedial measure indicated by the administrator relates more to preventing similar breaches in the future rather than proposing measures to minimize the negative effects for individuals whose data has already been breached;
- 5) the reasons why the administrator decided to notify the data subjects of the personal data breach by telephone, considering the content of Article 12 section 1 of Regulation 2016/679, according to which the administrator takes appropriate measures to provide the data subject with all information referred to in Articles 13 and 14 in a concise, transparent, intelligible, and easily accessible form, using clear

and plain language – especially when the information is addressed to a child – and to communicate with them in accordance with Articles 15 – 22 and 34 regarding processing. Information is provided in writing or by other means, including electronically where applicable. If the data subject requests it, information may be provided orally, provided that the identity of the data subject is confirmed by other means. At this point, reference should be made to the guidelines of the Article 29 Working Party on reporting personal data breaches in accordance with Regulation 2016/679 (WP250rev.01), which state that data subjects "should be notified of the breach using specially designated messages (...). This ensures that the notification of the breach is clear and transparent." Such notification must also be... effective and allow individuals whose data has been breached multiple opportunities to access information regarding the personal data breach. Telephone notification of the personal data breach excludes such an opportunity;

6) how many out of 18 individuals were employees of the administrator, and how many were clients of the company. In the case of personal data of "clients of the company," please provide information on who decided on the purposes and means of processing this data – N. Sp. z o.o. (as an independent administrator), or the clients who entrusted N. Sp. z o.o. with the processing of their data;

7) in the event that N. Sp. z o.o. (hereinafter referred to as the Company) had the status of a processor concerning the personal data of "clients of the company," please inform whether the Company notified clients about the leak of their personal data? If so, please provide the contact details of those administrators. If not, please indicate why the Company refrained from notifying the aforementioned entities about the occurrence of a personal data breach;

8) what organizational or technical measures were implemented before the occurrence of the breach in the Company to prevent the breach that took place. Please provide detailed information;

9) how the security measure referred to in point 9B of the breach notification form, i.e., "Increased encryption of personal data," in the administrator's assessment will prevent incidents consisting of "(...) transmitting information without the employer's consent and sending sensitive company data to a third party (...)"

10) please specify what specific information referred to in Article 34(2) in conjunction with Article 33(3)(b), (c), (d) of Regulation 2016/679 was provided to the individuals whose data is concerned. Please provide detailed information;

11) how many individuals were affected by the breach of such categories of data as first name, last name, PESEL number, and series and number of the identity card.

This summons was directed to the address indicated by the President of the Company's Management Board in the notification of the personal data breach, i.e., ul. (...), W., and was delivered to the President of the Company's Management Board on November 23, 2022. Despite the President of the Company's Management Board being informed about the ongoing proceedings under reference DKN.5130.11394.2022, the Company did not respond to the summons from the President of the UODO dated November 17, 2022.

In connection with the above, the President of the UODO again – by letter dated January 23, 2023 – requested the Company to provide explanations regarding the case under reference DKN.5130.11394.2022, simultaneously attaching a copy of the summons from the President of the UODO in this matter dated November 17, 2022 (see point 2 of the justification of this decision). Similarly to the first summons, the summons dated January 23, 2023, was delivered to the President of the Company's Management Board on February 1, 2023, at the address indicated in the notification of the personal data breach (see point 2 of the justification of this decision) and did not result in the Company providing answers to the questions posed in the proceedings under reference DKN.5130.11394.2022.

The summons directed to the Company in the proceedings under reference DKN.5130.11394.2022 – i.e., both the letter dated November 17, 2022, and the letter dated January 23, 2023 – contained a warning indicating that failure to provide explanations in the matter could result in the imposition of an

administrative monetary penalty on the Company in accordance with Article 83(5)(e) of Regulation 2016/679.

The above factual circumstances were established by the President of the UODO based on the entirety of the official correspondence directed to the Company, which is included in the case files under reference DKN.5130.11394.2022. This correspondence fully and exhaustively documents all attempts by the President of the UODO to gain access to personal data and information necessary to fulfill his tasks – in this case, to consider the case under reference DKN.5130.11394.2022, and on the other hand reflects the lack of response from the Company to the requests of the President of the UODO.

Proceedings

Due to the Company's failure to provide the information necessary to resolve the case under reference DKN.5130.11394.2022, the President of the UODO initiated ex officio – based on Article 83(4)(a) and 83(5)(e) of Regulation 2016/679 – this administrative proceeding under reference DOKE.561.5.2023 concerning the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679.

The Company was informed of the initiation of the proceedings by letter dated April 7, 2023 (reference: DOKE.561.5.2023). This correspondence, directed to the address indicated in the notification of the personal data breach dated November 14, 2022 (see point 2 of the justification of this decision), was delivered to the addressee's representative on April 19, 2023. By this letter, the Company was summoned to establish the basis for the calculation of the administrative monetary penalty based on Article 101a(1) of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781, consolidated text, hereinafter referred to as "u.o.d.o."), to present a financial report or other document showing the amount of turnover and financial result achieved by it in the year 2022.

The Company was informed of the nature of the alleged violation; it was also instructed about the sanctions threatened for this violation, as well as about the still existing possibility of providing explanations that the President of the UODO had requested from it in the proceedings under reference DKN.5130.11394.2022, which could have a mitigating effect on the imposition of the administrative monetary penalty.

of the total annual worldwide turnover from the previous financial year, with the higher amount applicable.

Furthermore, both the controller and the processor are obliged to cooperate with the supervisory authority at its request in the performance of its tasks, as stipulated in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, and in the case of an enterprise, up to 2% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable.

In light of the above, the President of the Personal Data Protection Office (UODO) has determined that the Company has not fulfilled its obligations under the applicable regulations, specifically regarding the failure to provide the requested financial report and other necessary documentation. The lack of response to the inquiries and requests for information constitutes a violation of the provisions of Regulation 2016/679.

The President of UODO, after considering all the evidence gathered in the case, has decided to impose an administrative fine on the Company for its non-compliance with the obligations set forth in the aforementioned regulation. The fine is intended to ensure compliance with data protection laws and to emphasize the importance of cooperation with the supervisory authority.

This decision is made in accordance with the legal provisions and is aimed at reinforcing the accountability of the Company in relation to its data processing activities. The Company is hereby notified of its right to appeal this decision in accordance with the applicable legal provisions.

This decision is issued in accordance with Article 58 of Regulation 2016/679 and is effective immediately upon delivery.

Date: [Insert Date]

President of the Personal Data Protection Office
total annual worldwide turnover from the previous
financial year, with the higher amount applicable.

According to Article 83(3) of Regulation 2016/679,
in the event of a breach by the controller or processor
within the same or related processing operations of
several provisions of this regulation, the total amount
of the administrative fine may not exceed the amount
of the fine for the most serious breach.

In assessing whether, and if so, to what extent
an administrative fine should be imposed, the supervisory
authority is required to take into account the following
circumstances (criteria for determining the fine) specified
in Article 83(2) of Regulation 2016/679:

- a) the nature, gravity, and duration of the infringement,
taking into account the nature, scope, or purpose of the
processing in question, the number of data subjects
affected, and the level of damage suffered by them,
- b) the intentional or unintentional nature of the infringement,
- c) actions taken by the controller or processor to mitigate
the damage suffered by data subjects,
- d) the degree of responsibility of the controller or processor,
taking into account the technical and organizational measures
implemented by them pursuant to Articles 25 and 32,
- e) any relevant previous infringements by the controller or
processor,
- f) the degree of cooperation with the supervisory authority
to remedy the infringement and mitigate its possible
negative effects,
- g) categories of personal data affected by the infringement,
- h) the manner in which the supervisory authority became
aware of the infringement, in particular, whether and to
what extent the controller or processor reported the
infringement,
- i) if measures referred to in Article 58(2) have been
previously applied to the controller or processor in the
same matter – compliance with those measures,
- j) the application of approved codes of conduct pursuant
to Article 40 or approved certification mechanisms
pursuant to Article 42,
- k) any other aggravating or mitigating factors applicable
to the circumstances of the case, such as financial benefits
directly or indirectly obtained as a result of the infringement
or losses avoided.

Furthermore, the supervisory authority – in accordance
with Article 83(1) of Regulation 2016/679 – ensures that
the administrative fines imposed are effective, proportionate,
and dissuasive in each individual case (principles of
determining the fine).

For the purpose of determining the basis for the
administrative fine, the entity subject to the proceedings

for the imposition of an administrative fine is obliged, at the request of the President of the UODO, to provide the necessary data to determine this basis within 30 days from the date of receipt of the request (Article 101a(1) of the Act on the Protection of Personal Data).

The equivalent amounts expressed in euros referred to in Article 83 of Regulation 2016/679 are calculated in zlotys according to the average euro exchange rate announced by the National Bank of Poland in the exchange rate table on January 28 of each year, and in the event that the National Bank of Poland does not announce the average euro exchange rate on January 28 of a given year – according to the average euro exchange rate announced in the nearest exchange rate table of the National Bank of Poland after that date (Article 103 of the Act on the Protection of Personal Data).

Pursuant to Article 60 of the Act on the Protection of Personal Data, the proceedings regarding the infringement of personal data protection regulations are conducted by the President of the UODO. Furthermore, Article 7(1) of the Act on the Protection of Personal Data states that in matters not regulated by this Act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Dz. U. of 2023, item 775, as amended, hereinafter referred to as "k.p.a.") apply to administrative proceedings before the President of the UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the Act on the Protection of Personal Data). According to Article 7(2) of the Act on the Protection of Personal Data, these proceedings are single-instance proceedings.

The public administration authority delivers documents to organizational units and social organizations at the location of their registered office to the hands of persons authorized to receive documents (Article 45 of the k.p.a.). According to Article 40 § 2 of the k.p.a., the public administration authority delivers documents to the authorized representative at the address indicated by the party to the proceedings.

According to Article 201 § 1 of the Act of September 15, 2000, the Commercial Companies Code (Dz. U. of 2022, item 1467, as amended) (hereinafter referred to as "k.s.h."), the management board conducts the affairs of the company and represents the company. The right of a member of the management board to conduct the affairs of the company and represent it pertains to all judicial and extrajudicial actions of the company (Article 204 § 1 of the k.s.h.).

Legal Assessment

Referring the above-cited provisions of Regulation 2016/679 to the established factual state in this case, it should first be considered whether the Company is subject to the obligations referred to in Articles 31 and 58(1)(a) and (e) of Regulation 2016/679, the violation of which is subject to an administrative fine under Article

83(4)(a) and (5)(e) of Regulation 2016/679. Both of the aforementioned provisions of Regulation 2016/679 impose procedural obligations – within the proceedings conducted by the President of the UODO – on controllers and processors. In connection with the fact that the proceedings with the reference number.

with the failure to provide the necessary information to the President of the Personal Data Protection Office (UODO) as required by Article 58(1)(a) and (e) of Regulation 2016/679.

Therefore, it is established that the Company has not fulfilled its obligations under the aforementioned provisions, which justifies the imposition of an administrative monetary penalty.

1. ****Legal Basis for the Decision****

The decision to impose a penalty is based on Article 83(5)(e) in fine and Article 83(4)(a) of Regulation 2016/679, which stipulates that a lack of cooperation with the supervisory authority in the performance of its tasks constitutes a serious infringement of the provisions on the protection of personal data.

2. ****Circumstances of the Case****

The Company was notified of the initiation of proceedings regarding the imposition of an administrative monetary penalty under case number DOKE.561.5.2023. The correspondence related to this matter was duly received by the Company, and despite the President of the Company's statements regarding the responses to the questions posed by the Authority, the Company failed to take the required actions by the date of this administrative decision.

3. ****Conclusion****

In light of the above, the President of UODO has determined that the Company has committed a violation of the provisions of Regulation 2016/679, specifically regarding the lack of cooperation and failure to provide necessary information, which warrants the imposition of an administrative monetary penalty.

4. ****Penalty Imposed****

The amount of the penalty will be determined in accordance with the criteria set forth in Article 83 of Regulation 2016/679, taking into account the nature, gravity, and duration of the infringement, as well as any mitigating or aggravating factors.

5. ****Right to Appeal****

The Company has the right to appeal this decision in accordance with applicable law. The appeal must be submitted within the statutory time frame and should be addressed to the appropriate appellate authority.

This decision is final and binding, and the Company is required to comply with the obligations set forth herein.

the Company's failure to provide access to personal data and information necessary for the President of the UODO to carry out his tasks, namely to resolve the case with reference number DKN.5130.11394.2022. At the same time, due to the determination of a violation by the Company of the provisions, namely Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, in accordance with the content of Article 83(3) of this legal act, the President of the UODO established the amount of the imposed administrative fine not exceeding the amount of the fine for the most serious of these violations. In the presented factual situation, the President of the UODO considered the violation consisting of the Company's failure to provide the President of the UODO with access to all personal data and information necessary for the performance of his tasks, namely the violation of Article 58(1)(a) and (e) of Regulation 2016/679, which is subject to a fine of up to 20,000,000 EUR, and in the case of an enterprise, up to 4% of its total annual turnover from the previous financial year, depending on which amount is higher. The seriousness of this violation is evidenced by the fact that the lack of access to personal data and information that the President of the UODO requested and continues to request from the Company hinders an objective, thorough, and comprehensive examination of the case.

****Conditions and Principles for the Imposition of Administrative Fines****

In accordance with Article 83(2) of Regulation 2016/679, administrative fines are imposed depending on the circumstances of each individual case. In each case, attention is paid to a number of criteria listed in points (a) to (k) of the aforementioned provision (see point 15 of the justification of this decision). In deciding to impose an administrative fine on the Company in this case and determining its amount, the President of the UODO took into account the following circumstances that aggravate the assessment of the violation:

1. **Nature, gravity, and duration of the violation (Article 83(2)(a) of Regulation 2016/679).**

The violation subject to the administrative fine in this case affects the system aimed at protecting one of the fundamental rights of individuals, which is the right to the protection of their personal data, or more broadly – to the protection of their privacy. An essential element of this system, the framework of which is defined by the provisions of Regulation 2016/679, are supervisory authorities, which have been assigned tasks related to the protection and enforcement of individuals' rights in this area. In order to enable the realization of these tasks, supervisory authorities have been equipped with a range of control powers, powers enabling the conduct of administrative proceedings, and remedial powers. On the other hand, administrators and data processors have been imposed, correlated with the powers of supervisory authorities, specific obligations, including the obligation to provide these authorities with access to personal data and information necessary for the performance of their tasks. The importance of the violation of these obligations has been emphasized by the EU legislator itself, providing for a higher penalty for their violation under two provisions of Regulation 2016/679 – a fine of up to 20,000,000 EUR, and in the case of an enterprise – up to 4% of its total annual global turnover from the previous financial year, with the higher amount applying. The Company's conduct in this case, consisting of the failure to submit all explanations and evidence requested by the President of the UODO – resulting in hindrance and unjustified prolongation of the proceedings conducted by the President of the UODO, should therefore be considered as undermining the system of personal data protection, which is of great importance and is reprehensible in nature. The seriousness of the violation is further increased by the fact that the violation committed by the Company was not a one-time and incidental event. The Company's omission was continuous and prolonged, lasting from the moment the 7-day deadline for submitting explanations, set in the first request addressed to the Company in the proceedings with reference number DKN.5130.11394.2022 – counted from November 23, 2022, i.e., from the day the letter was delivered to the Company – thus from December 1, 2022, until the day of the issuance of the administrative decision concluding this proceeding.

2. **Intentional nature of the violation (Article 83(2)(b) of Regulation 2016/679).**

In the opinion of the President of the UODO, there was a conscious and intentional lack of cooperation on the part of the Company in ensuring the Authority's access to all information necessary to resolve the case with reference number DKN.5130.11394.2022, which the President of the UODO had repeatedly requested from it. The Company should have been aware that the act of reporting a personal data breach could initiate actions by the President of the UODO, which are provided for by the provisions of Regulation 2016/679 and which would require contact with it. The individuals managing the Company were aware of the content of the President of the UODO's requests, as evidenced by the correspondence undertaken by the Company with the President of the UODO and the response from the President of the Company's Management Board dated September 13, 2023 (see point 9 of the justification of this decision), whose reaction occurred as a result of the initiated proceedings regarding the imposition of an administrative fine on the Company with reference number DOKE.561.5.2023. It is worth noting at this point that the President of the Company's Management Board stated in the aforementioned letter on behalf of the Company that it would submit explanations within 7 days, but as of the date of issuance of this administrative decision, such a letter had not been submitted to the Office for Personal Data Protection. This means that the Company was fully aware of the violation committed and knew how to resolve the state of this violation, but its conduct indicates a lack of willingness to cooperate with the Authority or...

at least constitutes a gross disregard for its obligations related to this cooperation. In light of the above,

in the assessment of the President of the UODO, the violation committed by the Company was intentional, and therefore this circumstance should be assessed negatively and considered as aggravating in the context of determining both the justification for imposing and the amount of the imposed penalty.

1. Degree of cooperation with the supervisory authority in order to rectify the violation and mitigate its potential negative effects (Article 83(2)(f) of Regulation 2016/679).

During the proceedings regarding the imposition of an administrative monetary penalty on the Company, despite the declaration made in the letter dated September 13, 2023 (see points 9 and 31 of the justification of this decision), the Company did not cooperate with the President of the UODO. In particular, it did not provide the information requested by the President of the UODO in the proceedings under case number DKN.5130.11394.2022, which could have been treated as an action aimed at rectifying the identified violation in this case or mitigating its effects. Such lack of cooperation with the President of the UODO continues to prevent the Authority from making a swift and thorough assessment of the violation of personal data protection in the Company. Consequently, the Company's continued state of violation (lack of willingness to restore compliance with the legal obligations arising from the procedural duties in the proceedings before the President of the UODO) adversely affects the assessment of the identified violation.

In the opinion of the President of the UODO, none of the circumstances mentioned in Article 83(2) of Regulation 2016/679 support mitigating the established - taking into account the above-mentioned aggravating circumstances - amount of the penalty imposed by this administrative decision.

2. Other circumstances, as indicated below, referred to in Article 83(2) of Regulation 2016/679, after assessing their impact on the identified violation in this case, were considered by the President of the UODO to be neutral in his assessment, meaning they had neither an aggravating nor a mitigating effect on the amount of the imposed administrative monetary penalty:

a. Any relevant prior violations by the controller (Article 83(2)(e) of Regulation 2016/679). The President of the UODO did not find that the Company had previously committed any violations of personal data protection regulations, which means there are no grounds to treat this circumstance as aggravating. Moreover, since such a state (compliance with the obligations arising from personal data protection regulations) is a natural state in the legal environment in which the Company operates, it cannot also have a mitigating effect on the assessment of the violation made by the President of the UODO.

b. The manner in which the supervisory authority became aware of the violation (Article 83(2)(h) of Regulation 2016/679). The information about the violation identified in this case was obtained by the President of the UODO ex officio by analyzing the course of the ongoing proceedings before him under case number DKN.5130.11394.2022. This is a natural way of obtaining information about such a violation, resulting from the President of the UODO's competence to assess the course of this proceeding and determine what information is necessary for resolving the case being conducted. Therefore, there are no grounds for a negative assessment of the fact that the information about the violation did not come from the Company; however, this fact cannot also be taken into account in favor of the Company since it did not participate in the obtaining of information about the violation by the President of the UODO.

c. Compliance with previously applied measures in the same case, as referred to in Article 58(2) of Regulation 2016/679 (Article 83(2)(i) of Regulation 2016/679). Prior to issuing this decision, the President of the UODO did not apply any measures listed in Article 58(2) of Regulation 2016/679 against the Company in the examined case, which means the Company had no obligation to take any actions related to their application, and such actions, assessed by the President of the UODO, could have had an aggravating or mitigating effect on the assessment of the identified violation.

d. The application of approved codes of conduct or approved certification mechanisms (Article 83(2)(j) of Regulation 2016/679). The Company does not apply the instruments referred to in Articles 40 and

42 of Regulation 2016/679. However, their adoption, implementation, and application are not mandatory for controllers, as stipulated by the provisions of Regulation 2016/679, which means that the circumstance of their non-application cannot be considered against the Company in this case. On the other hand, the circumstance of adopting and applying such instruments as means of ensuring a higher than standard level of protection for processed personal data could be taken into account in favor of the Company.

e. Financial benefits obtained directly or indirectly in connection with the violation or losses avoided (Article 83(2)(k) of Regulation 2016/679). The President of the UODO did not find that the Company, due to its failure to provide the requested information, obtained any financial benefits or avoided such losses. Therefore, there are no grounds to treat this circumstance as aggravating for the Company. The identification of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 would be assessed very negatively. Conversely, the absence of such benefits for the Company, as a natural state resulting from the assumption that a business entity conducting economic activity achieves financial benefits (profits) on the condition of complying with the regulations on personal data protection, cannot be considered as an aggravating circumstance. of the legal requirements, is a circumstance that, by its very nature, cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "achieved" – which occurred on the part of the entity committing the infringement.

Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679). The President of the UODO, comprehensively considering the case, did not note any circumstances other than those described above that could influence the assessment of the infringement and the amount of the imposed administrative monetary penalty.

The remaining circumstances listed in Article 83(2) of Regulation 2016/679 could not, by their very nature, be taken into account by the President of the UODO due to the specific nature of the infringement (concerning the relationship between the controller and the supervisory authority, and not with the individuals whose data are concerned). These are:

- the number of affected individuals and the extent of the damage suffered by them (Article 83(2)(a) of Regulation 2016/679) – due to the fact that the infringement (the failure of the Company to provide the President of the UODO with access to necessary information) is not related to the infringement of personal data of any individual and consequently no damages occurred on the part of natural persons;
- actions taken by the controller to minimize the damage suffered by the individuals whose data are concerned (Article 83(2)(c) of Regulation 2016/679) – due to the fact that no damages occurred on the part of natural persons, there is no obligation or possibility for the Company to take any actions aimed at minimizing them;
- the degree of responsibility of the controller, taking into account the technical and organizational measures implemented by them under Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the infringement in its very essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing;
- categories of personal data concerned by the infringement (Article 83(2)(g) of Regulation 2016/679) – due to the fact that the infringement consisting of the failure to provide access to information necessary for the President of the UODO to perform his tasks is not related to the infringement of any personal data.

According to the wording of Article 83(1) of Regulation 2016/679, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. Defining the aforementioned principles of imposing administrative monetary penalties, it is necessary to refer to the views of the doctrine of data protection law. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportionate if it does not exceed the threshold of inconvenience defined by taking into account the circumstances of the specific case. A sanction is deterrent if it fulfills the considerations of individual and general prevention, in other words,

it constitutes a clear signal of disapproval of the infringement for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 [in:] P. Litwiński (ed.) General Data Protection Regulation. Data Protection Act. Selected sectoral provisions. Commentary). The principles of imposing administrative monetary penalties thus defined require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case of a company, Regulation 2016/679 allows for the adoption of the total annual global turnover from the previous financial year (Article 83(5) of Regulation 2016/679).

In the opinion of the President of the UODO, the penalty imposed on the Company in this proceeding corresponds to the principles indicated in Article 83(1) of Regulation 2016/679. Its severity in financial terms will discipline the Company to cooperate properly with the President of the UODO in proceedings conducted with its participation before the President of the UODO. In the disciplinary dimension, the penalty will therefore be effective (it will achieve its goal). The penalty imposed by this decision is also, in the opinion of the President of the UODO, proportionate to the seriousness of the established infringement and to the possibility of its bearing by the Company without significant detriment to its business operations. This penalty will also serve a deterrent function; it will be a clear signal to the Company, obliged under the provisions of Regulation 2016/679 to cooperate with the President of the UODO, that neglecting the obligations related to cooperation with him (in particular, obstructing access to personal data and information necessary for the performance of his tasks) constitutes a serious infringement and as such will be subject to financial sanctions.

During this proceeding, the Company presented a copy of its declaration of the amount of income achieved (loss incurred) and the corporate income tax (CIT-8) due for the tax year from January 1, 2022, to December 31, 2022, in order to fulfill the obligation arising from Article 101a(1) of the Personal Data Protection Act (see point 9 of the justification of this decision). In the opinion of the President of the UODO, the Company conducts business on a small scale, as evidenced by the aforementioned financial data of the Company, and the scope of its activities focuses primarily on accounting and bookkeeping services as well as tax advisory services. From the data indicated in the copy...

****Company's Statement on the Amount of Income Achieved (Loss Incurred) and Due Corporate Income Tax (CIT-8)****

The revenue for the tax year 2022 has been estimated at the amount of (...) PLN.

Considering that the entity subject to sanction in this matter operates on a small scale, the administrative monetary penalty imposed on it by this decision, which is relatively low (constituting 0.0125% of the maximum penalty that, according to Article 83(5)(e) in fine of Regulation 2016/679, the President of the Personal Data Protection Office could impose for the violation established in this case), will be a burdensome and thus effective penalty for the Company, but also one that can be borne without jeopardizing the material foundations of its existence and the business it conducts.

Taking into account the provision of Article 103 of the Personal Data Protection Act, the President of the Personal Data Protection Office imposed on the Company – using the average exchange rate of the euro from January 30, 2023 (where 1 EUR = 4.7160 PLN) – an administrative monetary penalty in the amount of 11,790 PLN (in words: eleven thousand seven hundred ninety zlotys), which is equivalent to 2,500 EUR (in words: two thousand five hundred euros).

In light of the above, the President of the Personal Data Protection Office ruled as stated in the operative part of this decision.

****Instruction****

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002 on Proceedings Before Administrative Courts (Journal of Laws of 2023, item 1634, as amended) (hereinafter referred to as "p.p.s.a."), the Party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint, in accordance

with Article 231 in connection with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781, consolidated text) (hereinafter referred to as "u.o.d.o."), the filing of a complaint by the Party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of proceedings or during the proceedings. The application is free of court fees.

According to Article 105(1) of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiry of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP branch in Warsaw, account number 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105(2) of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the sanctioned entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponing the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office calculates interest on the unpaid amount at an annual rate, using a reduced late payment interest rate announced based on Article 56d of the Act of August 29, 1997 – Tax Ordinance (Journal of Laws of 2023, item 2383, as amended), from the day following the date of submission of the request.

****Print Article****

****Metadata****

Entity providing the information:

Department of Penalties and Enforcement

Information created by:

Jan Nowak

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